

Voluntary Report – Voluntary - Public Distribution

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Report Name: Indonesia Centralizes Palm Oil Exports

Country: Indonesia

Post: Jakarta

Report Category: Oilseeds and Products

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Report Highlights:

Following President Prabowo's announcement that Indonesia will centralize its palm oil and select other non-agricultural exports through a newly appointed state-owned enterprise, the Government of Indonesia issued Ministry of Trade Regulation 16/2026 in early June 2026. This regulation lists palm oil products that may only be exported by a designated state-owned enterprise beginning in January 2027. The United States ranked as the fifth-largest destination for Indonesian palm oil exports, receiving 1.3 million metric tons (MMT) in calendar year (CY) 2025.

On May 20, 2026, President Prabowo announced a "single-gate" export system for strategic commodities, citing various practices that had caused losses to the state for years. President Prabowo cited the widespread practice of under-invoicing in natural resource exports, in which exporters declare commodity values below actual market prices to minimize tax and levy obligations. The Government of Indonesia (GOI) estimates it lost approximately \$908 billion over 34 years through this practice. President Prabowo contended that centralized oversight could recover up to \$150 billion annually in revenue leakage. Accordingly, Indonesia’s sovereign wealth fund established a new state-owned enterprise (SOE) tasked specifically for exports, Danantara Sumberdaya Indonesia (DSI).

Following President Prabowo’s announcement, the GOI issued [Government Regulation \(GR\) No 24/2026](#) which sets a framework for an SOE to manage exports of key commodities, including palm oil. GR 24/2026 was effective starting June 1, 2026, with the following key requirements:

- Palm oil may only be exported by a designated SOE acting as either the direct owner of the commodity or the sole export intermediary.
- Private palm oil producers must route all export operations through the state's single-gate system no later than December 31, 2026. A mandatory evaluation will occur 3 months from the implementing date, which may allow the government to move this deadline forward.
- Existing palm oil sales contracts executed prior to June 1, 2026, remain valid but are subject to mandatory review by the export SOE.

Table 1. Phase of Palm Oil Exports Centralization

Phase	Key Actions
<u>Phase I</u> Transition (June 1 – December 31, 2026)	Palm oil exporters must report data to DSI
<u>Phase II</u> Full Implementation (January 1, 2027)	Full centralization: all overseas contracts handled exclusively by DSI.

Exemption

GR 24/2026 provides an exemption allowing companies to export palm oil outside the DSI framework if they hold a contract or agreement with the GOI that includes provisions on investment, divestment, and domestic processing and refining. An interagency meeting led by Coordinating Ministry of Food Affairs (CMFA) will grant exemptions to companies that meet the requirements.

Implementing Regulation

In early June 2026, the GOI issued [Ministry of Trade \(MOT\) Regulation No 16/2026](#), which serves as the implementation regulation for GR 24/2026. MOT 16/2026 includes the list of commodities which must be exported via DSI. This includes several palm oil products outlined in Table 2 below, including crude palm oil (2 HS codes), refined palm oil (1 HS code), refined palm olein (3 HS codes), used cooking oil (6 HS codes), and palm residual products (2 HS codes). This regulation does not impact other Indonesian agricultural products exported to the United States.

Table 2. Palm Oil Products Coverage for State Single Exports

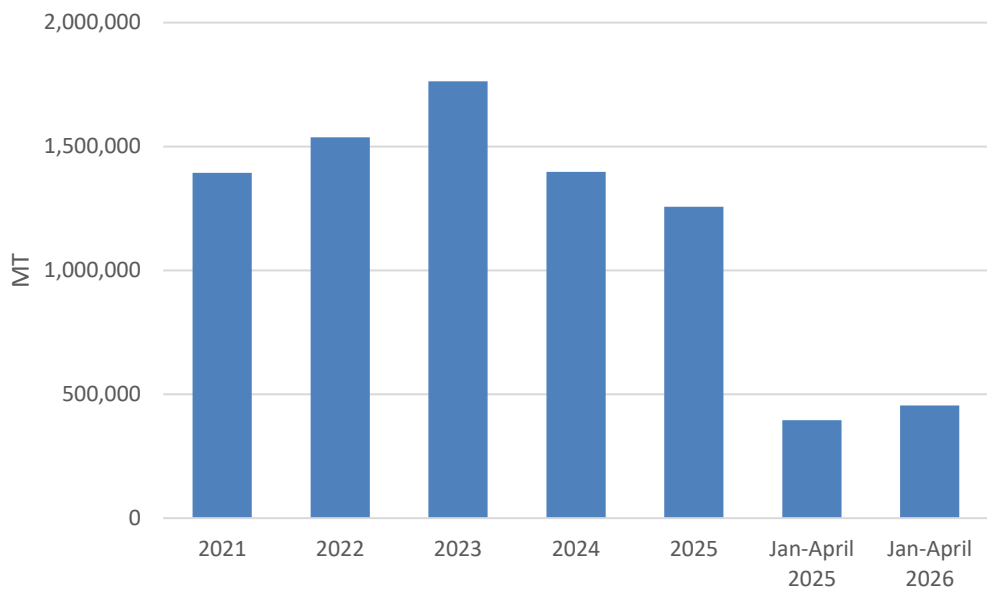
Palm Oil Products	HS Code
<i>Crude palm oil (CPO)</i>	1511.10 1511.90
<i>Refined, Bleached and Deodorized Palm Oil (RBDPO)</i>	ex 1511.90.20
<i>Refined, Bleached and Deodorized Palm Olein (“RBDPL”)</i>	ex 1511.90.36
	ex 1511.90.37
	ex 1511.90.39
<i>Used Cooking Oil (UCO)</i>	ex 1518.00.14
	ex 1518.00.19
	ex 1518.00.32
	ex 1518.00.38
	ex 1518.00.60
Palm residual derivative (Palm oil mill effluent oil, high acid palm oil residue, empty fruit bunch oil)	ex 1518.00.90
	ex 2306.60.90 ex 2306.90.90

Source: MOT Regulation 16/2026

Palm oil exports to United States

Based on recent trade trends, the export centralization policy is most likely to affect U.S. buyers of palm oil. The United States is the fifth largest market of Indonesia palm oil exports in CY 2025. However, while Indonesian palm oil exports to the United States totaled 1.3 MMT in CY2025, this was the lowest volume since 2021 (see Figure 1). Conversely, in 2026, Indonesia recorded no UCO shipments to the United States despite having exported between 10,000 MT to 112,000 MT annually to the United States from 2023 to 2025. There have been no palm residue exports from Indonesia to United States since 2023. FAS Jakarta will continue tracking the impact of this policy change and provide additional reporting accordingly.

Figure 1. Indonesia Palm Oil Exports to United States 2021-2026



Source: Trade Data Monitor (TDM), LLC

Attachments:

No Attachments.